ECONOMICS (ABT Question Bank)

FOR XII ARTS & COMMERCE

Q1. Choose the Correct option.

1) Product Differentiation is possible in the following market.

a) Perfect Competition b) Monopolistic c) Monopoly d) All the above
Options: i) a, b ii) a, c **iii) b** iv) a, b, c

2) The statements correct regarding balance of payment concept

a) Systematic record b) Value of all international transactions c) Constructed for 10 years d) difference between value of countries export & import
Options: **i) a, b** ii) b, c iii) a, d iv) a, b, c

3) Tea in Assam is an example of the following type of Monopoly.

a) public Monopoly b) discriminating Monopoly c) Natural Monopoly d) None of these
Options: i) c, d ii) a, c iii) b, c, d **iv) c**

4) Scope of Macroeconomics is
a) Theory of Investment function b) Theory of Consumption Function c) Individual demand d) Employment level
Options: i) c, d ii) a, b ,c iii) b , c &d **iv) a, b, d**

5) Demand for commodity which can be put to several uses:

a) Direct demand b) Indirect Demand c) Complementary demand d) Composite Demand
Options**: i) d** ii) b, c iii) a, b, d iv) c, d

6) Public Expenditure is classified based on:

a) Developmental Expenditure b) Revenue Expenditure c) Growing Urbanization

d) Industrial development

Options: i) a, b, c ii) a, c iii) b, c, d iv) a, b

7) Assumptions of the Law of demand:

a) Constant cost of Production b) No change in taste and habits c) Prices of substitute goods remain constant d) Constant level of income.

Options: i) b ii) c **iii) b, c, d** iv) a, b, c

8) Gross market value of all final Goods and Services produced within the domestic territory of a country during a period of year

a) GNP b) GDP c) NDP d) NNP

Options: **i) b** ii) a, c iii) c, d iv) c

9) Fall in the Quantity Supply due to fall in the price on the same Supply curve is in case of:

a) Contraction of Supply b) Increase in supply

c) Expansion in Supply d) Decrease in Supply

Options: **i) c** ii) a iii) b, c iv) a, b

10) Conceptual difficulties in estimation of National income is:

a) Unpaid Services b) Inadequate and Unreliable data c) Changing price Level d) illegal income

Options: i)b, c, d ii) a, b, c **iii) a, c, d** iv) c, d

11) Concept studied under Microeconomics.
a)National Income b) General price level c) Factor pricing d) Product pricing

Options: i)b, c, d ii) a, b, c iii) a, c, d **iv) c, d**

12) Two and More goods demanded jointly to satisfy a single want.

a)Direct demand b) Indirect demand c) Joint demand d) Composite demand

Options: i)b, c, d ii) only d iii) a, c, d **iv) only c**

13. Under Perfect competition, sellers are:

a)Price maker b) Price taker c) Price Discriminators d) None of these

Options: i)b, c, d **ii) Only b** iii) a, c, d iv) Only d

14. While estimating the national income, we includes only value of final goods and services in order to:

a) Make computation easier b) avoid double counting c) maximize national welfare
d) Evaluate the total economic performance of a nation.

Options: **i) only b** ii) a, b, c iii) a, c, d iv) only c

15. Non-tax sources of revenue.

a) Direct and Indirect tax b) Fines c) Fess d) special levy

Options: **i) b, c, d** ii) a, b, c iii) a, c, d iv) c, d

16. Methods of quantitative credit control.

a) Bank rate b) OMO c) Cash reserve ratio d) Credit rationing

Options: i) b, c, d **ii) a, b, c** iii) a, d iv) c, d

17. Role of Foreign trade:

a) To earn foreign exchange b) to encourage investment c) leads to division of labour d) bring changes in export.

Options: i) b, d **ii) a, b, c** iii) a , d iv) c, d

18. NDP is obtained by:

a)Deducting depreciation from GNP b) Deducting depreciation from GDP

c) Including depreciation in GDP d) Including depreciation in GNP

Options: i)b, c, d **ii) Only b** iii) a, c, d iv) Only d

19. Obligatory functions of government.

a) Provision of employment b) maintain law and order

c) Welfare measures d) Exporting goods and services.

Options: i)b, d **ii) Only b** iii) a, d iv) Only d

20) Statements that are incorrect in relation to index number.

a) Index number is a geographical tool. b) Index number measures changes in air pressure c) Index number measures relative changes in an economic variable d) Index numbers are specialized averages.

Options: i)b, and d ii) Only b **iii) a, and b** iv) Only d

21) Micro economics is based on certain assumptions

a) Perfect competition b) Pure capitalism c) Full employment d) Laissez faire policy

Options: **1) b, c & d** 2) c & d 3) a, b & c 4) a , c & d

22) Form Utility increases when –

a) Dress stitched from cloth b) Pot made from clay c) river water diverted towards farm

d) Necklace from gold biscuit

Options: 1) b, c & d 2) c & d **3) a, b & d** 4) a , c & d

23) After the point of satiety, any additional consumption of commodity results into-

a) negative MU b) diminishing TU c) Disutility d) maximum TU

Options: 1) a, b, d **2) a, b, c** 3) a, c, d, 4) None of these

24) The relationship between demand for a good & a price of its substitutes is

a) direct b) inverse c) no effect 4) can be direct & inverse

Options: 1) only a **2) only b** 3) only c 4) only d

25) The relationship between income & demand for inferior goods is

a) direct b) inverse c) no effect 4) can be direct & inverse

Options: 1) only a **2) only b** 3) only c 4) only d

26) When percentage change in price is less than percentage change in quantity demanded, the demand curve is

a) flatter b) stepper c) rectangular d) horizontal

Options : **1) Only a** 2) Only b 3) Only c 4) Only d

27) Legal monopoly is recognized by

a) Patents b) Trade mark c) License d) Copyright

Options : 1) a,b c & d **2) a, b &d** 3) a,b & c 4) a & c

28) Examples of discriminating monopoly are

a) Doctors b) Movie tickets c) Auto fare d) Electricity charges

Options : 1) a & b 2) a, b &d 3) a,b & c **4) a,b,c & d**

29) Income method of measurement of national income takes into consider

a) Revenue from direct tax b) Undistributed profit of companies

c) Income from government property d) Unpaid services

Options : **1) b , c** 2) a, b &d 3) a, b & c 4) a, b, c & d

30) Statements that highlight the significance of Index Numbers

a) Index Number are useful for making future prediction.

b) Index Number helps in the measurement of inflation

c) Index Number help to frame suitable policies

d) Index Number can be misused

Options : 1)b, c & d 2) b, c & d 3) a, b & d **4) a, b & c**

31) Index Numbers are used

a) to determine production b) to determine the level of employment

c) to revise dearness allowance d) to revise cost of living

Options: 1) a, b &c 2) b, c & d **3) c & d** 4) only d

32) Non tax revenue includes

a) prices of public goods & services b) Gifts , grants & donations

c) Goods & Services Tax d) fines & penalties

Options**: 1) a,b & d** 2) a,b & c 3) b &d 4) a & c

33) Examples of revenue expenditure are

a) Administration cost if the government

b) Huge investments in different development projects.

c) Salaries, allowances & pensions of government employees

d) Medical & public health services

1) a, b & c 2) a &b 3) c &d **4) a , c & d**

34) Export trends of India's foreign trade includes

a) Engineering goods b) Gems & jewellery

c) Textiles & Readymade garments d) Gold

1) a & c **2) a , b & c** 3) c & d 4) None of these

35) India's leading trading partners are

a) USA b) Germany

c) Japan d) Bhutan

Options : a) a,b, c & d b) a & d **c) a, b & c** d) b & c

36) Foreign trade helps to maintain stability in

a) Demand position b) supply position

c) Prices d) employment

Options : 1) only c 2) c & d **3) a, b & c** 4) a, b & d

37) The commodities purchased by India from other countries include

a) Fertilisers b) Steel

c) Spices d) Iron

Options : **1) a, b & d** 2) b & c 3) a, b & c 4) c & d

38) Balance of payment is

a) Constructed for given period b) systematic record

c) Value of all international transactions d) Based on market prices

Options: 1) a & d **2) a, b & c** 3) b & d 4) c & d

39) The balance of trade includes the value of

a) Imports of visible goods b) Exports of visible goods

c) Imports of invisible goods d) Exports of invisible goods

Options: 1) a & b 2) c & d 3) b & c **4) a , b, c & d**

40) Money market instruments are

a) highly liquid b) less risky

c) cheap d) easily marketable

Options: **1) a, b & d** 2) b, c & d 3) b & d 4) a & b

41) Money market in India are located at

a) Mumbai b) Delhi c) Pune d) Kolkata

Options: 1) a & b **2) a, b & d** 3) b & d 4) a , c & d

42) Role of money market is

a) Liquidity management b) Growth of trade & industry

c) Portfolio management d) Equilibrating mechanism

Options: 1) a, b & c 2) b & d **3) a, b, c & d** 4) c & d

43) Identify the problems faced by the money market

a) Existence of uniformity in rates of interest b) Seasonal fluctuations

c) Lack of financial inclusion d) immediate technological up- gradation

Options: 1) a, b, c &d **2) b & c** 3) a & d 4) c & d

44) Role of capital market

a) Providing equity capital b) Mobilising short term saving

c) Facilitating integration d) Enabling quick valuation

Options: **1) a, b & c** 2) c & d 3) a & b 4) a , b , c & d

45) Identify the reform introduced in the capital market

a) Establishment of SEBI b) Introduction of computerized SBTS

c) Allowing issue of ADRs & GDRs d) Introduction of de-mat account

Options: 1) a & c 2) c & d 3) b, c & d **4) a, b ,c & d**

46) Identify the examples of developmental expenditure

a) Expenditure on health b) Expenditure on education

c) Expenditure on social welfare d) Expenditure on research &development

Options: 1) a & b 2) b & d 3) c & d **4) a, b , c & d**

47) External debt can be taken from

a) Foreign government b) Foreign banks & institutions

c) International organisations d) Domestic central bank

Options: 1) a, c & d 2) b , c & d **3) a, b & c** 4) a & b

48) This is not a reason for growth in public expenditure.

a) Rapid increase in population b) Spread of capitalism

c) Inflation d) Increasing defence expenditure

Options: 1) a & b **2) Only b** 3) a & d 4) a , b , c & d

49) The rising unemployment during depression can be checked by

a) Increasing government expenditure b) Borrowing money

c) Deficit financing d) lowering the effective demand

Options: **1) a ,b & c** 2) c & d 3) a ,b & c 4) b & d

50) Identify the importance of budget

a) Medium for implementing economic policies

b) has impact on production , size & distribution of income

c) has impact on the lives of citizens

d) has impact on the functioning of overall economy.

Options: 1) a ,b & c 2) a, b, c d 3) a & c 4) b & d

51) Income method of measurement of national income takes into consideration

a) Revenue from direct tax b) Undistributed profits of companies

c) Income from government property d) Unpaid services

Options : 1) a, b, c d 2) a & d 3) b & c 4) a & b

52) To avoid double counting the value of

a) final goods & services is consider b) raw material is not considered

c) final goods & services is not consider d) final & intermediate goods is considered

Options : 1) a & b 2) b & c 3) a ,b ,c & d 4) b & d

53) Classification of markets on the basis of time

a) very short period market , long period market , very long period market

b) very short period , local market , National market

c) short period market , National market , International market

d) local market , National market , short period market

Options : 1) a, b & c **2) b , c & d** 3) only a 4) a & d

54) The following is correct with respect to Total Revenue

a) It is the total income of the firm b) Total Revenue = Price x Quantity

c) It is total sales receipts of a firm by selling a commodity at given price.

d) Total Revenue = TR n – TR n-1

Options : 1) only d 2) a , b & c 3) a , c & d 4) b , c & d

55) This statement pertaining to the law of supply is incorrect.

a) law is based on certain assumptions

b) It was introduced by Paul Samuelson

c) It explains the functional relationship between price & quantity supplied

d) The law of supply has certain exceptions.

Options : 1) c & d 2) only b c) only d d) only a

56) The following commodities would have a negative cross elasticity

a) Pen & biscuits b) Milk & tea c) Car & petrol d) Tea & coffee

Options : 1) a & b 2) a & d 3) b & c 4) a & c

57) The following commodities have perfectly inelastic demand

a) salt b) movie tickets c) life saving medicines d) perfumes

Options : 1) a & b 2) b & d 3) b & c 4) a & c

58) Which of these are factors influencing elasticity of demand

a) Nature of commodity b) Time period

c) Income of the consumer d) Urgency of the need

Options : **1) All the above** 2) a , b & d 3) b , c & d 4) a, b & c

59) The demand will be relatively elastic in the following cases

a) Luxury goods b) short period

c) low income of consumers d) Goods needed urgently

Options : 1) only d 2) a , b & c **3) a & c** 4) a , b & d

60) The concept of elasticity of demand has the following importance

a) to producer for fixing prices b) to government for framing tax policy

c) for determination of factor price d) to fix terms & conditions in foreign trade

Options **: 1) All the above** 2) a , b &c 3) a & d 4) only a

61) This means a rise in demand due to cut in tax rates by the government

a) Increase in demand b) Expansion in demand

c) Growth in demand d) Change in demand

Options **1) a & d** 2) only b 3) a & c 4) a & b

62) A decrease in demand is represented diagrammatically by

a) Shift in demand curve from left to right

b)) Shift in demand curve from right to left

c) Upward movement on the same curve

d) Downward movement on the same curve

Options: 1) only a **2) only b** 3) b & d 4) only d

63) This is a criticism to the law of DMU

a) Cardinal measurement not possible b) Not useful to the government

c) Not applicable to indivisible goods d) Basis of paradox of value

Options: 1) b & d 2) a , b , c & d 3) a & c 4) only d

64) These points explain the importance of Macro economics

a) Functioning of the economy b) Economic model building

c) Basis of welfare economics d) performance of an economy

Options : 1) a, b, c & d **2) a & d** 3) a , b & c 4) b & d

65) These points explain the importance of Micro economics
a) Price determination b) Economic model building
c) useful to the government d) Performance of an economy
Options : 1) a, b, c & d **2) a ,b & c** 3) a , b & d 4) Only a

Q2 – Find the odd word out.

1. India's Oceanic trade partners –

Afghanistan, Nepal, **Singapore,** Myanmar

2. India's exports prior to Independence –

Leather, Oil seeds, Mineral products, **Electronic goods**

3. Money Market centres in India –

Mumbai, Delhi, **Chennai,** Kolkata

4. Unorganised Money Market –

Cooperative Banks, Money Lenders, Indigenous Bankers, Unregulated Intermediaries

5. Canons of Taxation –

Canon of Inequality, Canon of economy, Canon of Equality, Canon of convenience

6. Components of capital Expenditure –

Expenditure on development projects , Expenditure on social & community development, Interest paid on Govt. borrowing, **Expenditure on defence general services**

7. Transfer payment

Scholarship, Pension, Unemployment benefit, **wages**

8. Theoretical Difficulties –

Illegal income, Profit of MNC's, Changes in price level**, Problem of double counting.**

9. Steps in construction of Index Number –

Selection of items, **Selection of policies**, Selection of the base year, Selection of formula

10. Limitations of Index Number –

Based on samples, **unbiased data,** Defects in formula, arbitrary weights.

11. Oligopoly firms -

Mobile service providers, Cement companies, Electricity supply companies, **Garment manufacturing companies**

12. Increase in supply –

Fall in tax rates, Good weather condition, **Rise in cost of production**, Technological up - gradation

13. Exception to law of supply

Machine made cloth. Milk, Rare Paintings, labour

14. Complementary goods –

Pencil & Eraser, Laptop & Charger, **CNG & Petrol,** TV & Set -top box

15. Exception to law of demand –

Inferior goods, prestigious goods, Habitual goods**, Consumer goods**

16. Inelastic demand –

Medicines, Newspaper, Onion, **Television**

17. Factors influencing Price elasticity of demand –

Habit, Urgency, Income, **Govt. policies**

18. Assumptions to law of DMU-

Rationality, **subjectivity**, divisibility, constancy

19. Time Utility

Blood donation, Preservation of fruit pulp, **manual of washing machine**, sell & purchase of shares

20. Features of Micro economics –

Slicing method, Partial equilibrium, **Income theory**, Marginal analysis

21. Scope of Macro economics -

Theory of income & employment, **Theory of Economic welfare**, Theory of distribution, Theory of General Price level

22. Importance of Micro economics –

Price determination, Business decisions, **Economic fluctuations**, Economic model building

23. Criticisms of Law of DMU

Cardinal measurement**, realistic assumptions**, Indivisible goods, single want

24. Types of demand –

Direct demand, composite demand, **market demand**, complementary demand

25. Composite Goods -

Milk, mobile, water**, pen**

26. Negative cross elasticity of demand

Water colours & Brush, Mobile & charger , **Sugar & jiggery,** car & petrol

27. Features of Monopolistic competition –

Selling cost**, Concept of industry**, product differentiation, close substitutes

28. Market structure on the basis of place-

Local market, national market, **monopoly,** international market

29. Type of Index number-

Price Index number, Value Index number, Special Purpose Index number, **Simple Index number**

30. Examples of Special Index numbers-

Labour productivity Index number, Share Price Index number, **Quantity Index number**, *Import –export* Index number

31. GNP by Income Method –

Rent , Mixed Income, wages, **Consumption expenditure**

32. Precautions of Output method –

Avoid double counting, **add indirect taxes**, deduct depreciation, add self-consumption

33. Sources of Non- tax revenue

Special levies, Special assessment, **GST,** Fines,

34. Functions of RBI –

Banker's bank, **Creation of credit**, Issue of currency notes, Banker to the Government

35. Quantitative credit Control measures of RBI

Bank rate, Open market operations, **moral suasion**, Cash reserve ratio

36. Structure of capital market-

Financial Intermediaries, **RBI,** Industrial Securities Market, Development Financial Institutions

37. Development Financial (Capital Market) -

IFCI, IIBI, **EXIM**, BSE

38. Financial Intermediaries (Capital Market)-

Loan companies, Merchant banks, Mutual funds, Leasing Companies

39. India's Imports prior to Independence –

Medicines, Motor vehicles, Steel, **Electrical goods**

40. India's Export items-

Gems, Textile, Engineering goods**, Iron**

41. India's Import items-

Gold, Iron, **Gems,** Fertilizers

42. Types of Foreign Trade

Import trade, **Internal trade**, Export trade, Entrepot trade

43. Money market instruments –

Shares, Trade bills, Government securities, Promissory notes

44. Primary functions of commercial banks-

Accepting deposits, **Developmental functions**, Granting loans, Credit creation

45. New instruments in money market –

Commercial papers, Certificate of deposits**, Gilt Securities**, Money market Mutual fund

46. Development Financial Institutions (DFI"s)

Indian Financial Corporation of India (IFIC), Industrial Investment Bank of India (IIBI), EXIM bank , **NSE**

Q3 Complete the Correlation.

1. Composition of Exports prior to Independence: Primary products:: . Composition of Exports prior to Independence: ________________

2 Old Port: Mumbai:: New Port: ____________________

3. RBI: Hill Young Commission:: ___________________: Vaghul Committee

4.Open market operations: Quantitative method:: Moral Suasion: ____ _____________

5. Ticketless traveling: Fine :: Duty on wine: ____________________

6. Protection from external attack: Obligatory functions:: Provision of social security: ___ _________

7. GNP: C+I+G+(X – M)+(R –P):: NNP :_________.

8. Two sector economy: Households, Firm:: Three sector economy:_________.

9.   _________: Base Year quantities:: Passche's Index Number: Current year quantities

10. Base year: 0::_____________ 1.

11. Price Discrimination:________________:: Product Differentiation: Monopolistic Competition

12. Short period market: less than one year:: Very long period: ______________________

13.Downward movement along supply curve:_______________:: Leftward shift in supply curve: Decrease in supply

14. Marginal cost: ________________:: Average cost: TC/TQ

15. Car & fuel: ________________________:: Desktop & Laptop: Positive Cross elasticity of demand

16.Unit elastic demand: ______________________:: Relatively Inelastic demand: Flatter demand curve

17 Individual demand: Micro economic concept:: Aggregate demand :__________________ _

18. Pen & refill: Joint demand:: Mobile:____________________

19. Intra Marginal Unit: MU> P:: Extra Marginal Unit:____________________________

20. Export of Mangoes: Place Utility:: Clay to Idols:_________________________

21. Micro economics: Partial equilibrium::Macroeconomics:________________________

22. Theory of Growth & development:____________:: TheoryOf economic welfare: Micro economics

23. More is supplied at same price: Increase in supply:: Less is supplied at same price: ____________

24. Study of Individuals: Micro economics :: Study of Aggregates :_____________

25. Total Utility : Value in Use :: Marginal Utility : ______________

26. Luxury car: Prestigious good :: Vansapti ghee :___________

27. Demand for clothes : Direct demand :: Demand for factors of production :________

28. Zero Income elasticity: __________:: Negative Income elasticity: Inferior goods

29. Trade Surplus : Export > Imports :: ____________: : Export < Imports .

30. Demand deposit: Current account :: __________: Recurring Deposit

31. Dual Structure: Problem of money market:: Financial scams : __________

32. Product method : Output side:: ________: Distribution side

33. Primary Market : New Issues :: _________: Old Issues

34. Internal Debt: Loan from Citizens ::_________: Loan from IMF

35. Minimum cost of tax collection : Canon of Economy:: Tax based on ability to pay :____

36. Inflation : Surplus Budget:: Depression : ________

37. Price Index Number: Simple Index number:: Paasche's Index Number:_________

38. Univariate Index: Single Variable :: ____________: Group of variable

39. Homogenous Products: Perfect competition:: Product Differentiation: ________

40. Price Taker: _________:: Price maker: Monopoly

41. OPEC : ________ :: Copy rights : Legal Monopoly

42. Movement along the supply curve: _______:: Shift in supply curve: Change in Supply

43. Demand for washing machine : ___________:: Demand for Milk: relatively inelastic.

44. Demand for Salt : ________ :: Demand for soap : Elastic

45. Relatively Inelastic demand: Ed<1 :: Perfectly Elastic : ________

46. Vertical demand curve parallel to Y axis: _________:: Steeper demand curve : Relatively inelastic demand.

47.Normal demand curve: Slopes downwards:: Exceptional demand curve: ___________

48. Dentist : Service Utility :: Demo of Microwave given by sales person : _____________

49. Consumption beyond the point of satiety - MU : Negative :: TU :_____________

50. Micro economics: Price theory :: Macro economics :________

51. Trade between different countries: ________:: Trade within the country: Domestic trade

52. Trade surplus: Export > Import::________: Import < Export

53. Highest share in imports: Petroleum:: Highest share in export: ___________.

Q4. Give Economic Terms.

1. The branch of economics that tries to address situations facing the economy as a whole.
2. The point beyond which additional consumption reduces total utility.
3. A tabular representation which shows different quantities of commodities that an individual consumer purchases at different prices over a given period of time.
4. An increase in the demand for the product in one use, decreases its availability for another use.
5. A responsiveness of one variable to a change in the other variable.
6. A situation where the labour supply decreases with a further increase in the wage rate.
7. The total expenditure incurred by a firm on the factors of production required for the production of goods & services.
8. The cost incurred by the firm to create more demand for its product and to increase the volume of sales.
9. An index which is constructed from a group of variables.
10. The gross market value of all final goods & services produced within the domestic territory of a country, during a period of one year.
11. The expenditure which results in generation of employment, increase in production & price stability.
12. The policy by which a government adjusts its spending levels and tax rates to monitor and influence a nation’s economy.
13. Deposits which are withdraw able on demand.

14. The institutions which provide medium term and long-term financial assistance to the private sector.

15. The difference between the values of a country's export and import for a given period.

16. The demand for the commodity which can be put to several uses.

17. The market where there are few sellers.

18. It was established in1988 to protect the interest of the investors & promote the development of securities market.

19. The means by which a government adjusts its spending levels & tax rates to monitor & influence a nation's economy.

20. Systematic record of all international economic transactions of a particular country for a given period.

21. Purchase of goods from one country and after processing sell it to the another country.

22. It deals with the shares & debentures issued by the old & new companies.

23. TV & remote will have this type of elasticity of demand

24. Government securities market is also known as .

25 The revenue per unit of output sold .

26 .The total amount of sales proceeds which an entrepreneur actually expects from the sale of output produced at a given level of employment during the year.

27. Degree of responsiveness of a change of quantity demanded of one commodity due to change in the price of another commodity.

28 .A compulsory contribution from a person to government without reference to special benefits conferred.

29 .Wear and tear of capital assets, due to their use in the process of production.

30 .An ideal but imaginary market structure.

31 .Income method of measuring national income is also known as

32. A market structure where a seller has complete control over the supply of commodity.

33. It is the type of price elasticity when the total outlay decreases with a given change in price.

34. Method in which the value of a commodity is added at different stages of production till finial output reached in the hands of consumer.

35. When price falls, purchasing power of a consumer increases which enables him to buy more of that commodity is known as

36. It means the countries to which India export its goods & services & the countries from which it imports the goods & services.

37. A market where sale & purchase of financial assets is undertaken.

38. A market for lending & borrowing of short term funds.

39. Type of deposits that are withdraw able on demand.

40. Deposits which are repayable after a certain period of time.

41. The deposit that are created out of the loans given by the banks.

42. This market helps to mobilize long term savings from various sections of the population through the sale of securities.

43. Public Expenditure incurred for progress & development of the country.

44. Debt wherein Govt. borrows from its citizens, Commercial banks, central bank & Business houses within the country.

45. The gross market value of all final goods and services produced within the domestic territory of a country, during a period of one year.

46. The net market value of all final goods and services produced by the residents of a country during a period of one year.

47. Index Number which is computed from a single variable.

48. Index Number which is computed from a group of variables.

49. The year with respect to which comparisons are made.

50. This index number measures changes in the value of a variable in term of rupee.

51. The price at which demand and supply are the same or equal.

52. A type of monopoly in which some monopolists come together and form a group.

53. A tabular representation of the functional relationship between price and quantity supplied.

54. Change in supply on account of unfavourable change in factors other than price

55. The minimum amount of sales proceeds which entrepreneurs expect to receive from sale of the output at a given level of employment.

56. Net additional made to total cost of production.

57. Degree of responsiveness of a change in quantity demanded of one commodity due to change in the price of another commodity.

58. It is the type of price elasticity when total outlay does not change when price falls or rises

59. The goods whose demand does not rise even if their price falls.

60. Less quantity is demanded due to change in the factors determining demand other than price.

61. The total amount of sales proceeds which an entrepreneur actually expects from the sale of output produced at a given level of employment during the year.

62. The utility that is created when rubber is converted into tyre.

63. The utility that is created on buying mangoes from a mango seller.

64. The utility that is created when a scientist prepares an antidote (cure) for the virus.

65. The point after which a rational consumer stops his consumption.

66. Unit at which MU becomes equal with market price.

67. A type of economy wherein economic decisions regarding the production of goods are taken at individual level.

68. This macro-economic theory explains the causes of underdevelopment and poverty.

69. The theory which deals with the relative shares of rent, wages, interest and profit in the total national income.

Q.5 Study the Following Situation and express your opinion

1. Demand for a commodity in economics is not the same thing as desire for it. It refers to both the desire to purchase and the ability to pay for a commodity. It is only when desire is backed by the willingness and power to pay that gives rise to demand. In other words, demand is an effective desire, i.e., a desire accompanied by the will to purchase and power to purchase. Thus, a desire to buy a good backed by willingness to pay and ability to pay becomes effective demand. For instance, I may have the desire for a car, but it will become demand only when I have the adequate money and I am willing to spend that money to purchase that car. Demand in economics is always at a price. It makes no sense if it is not related to a price. For example, you may be willing to purchase a shirt if it is available for 500, but you may not buy it at all if the shirt is priced at 800. Moreover, different quantities of a commodity will be demanded at different prices. Therefore, demand is always expressed in relation to a particular price. For a given price, demand tells us a specific quantity that consumers will actually purchase. Demand is always expressed with reference to a particular time period. For example, demand for a car will be quite different if the period in question is one day, one week, or one year. Demand is a flow concept. Flow is any variable which is expressed per unit of time.

1. What does demand mean?
2. Is demand concept a flow concept, explain?

2. The concept of elasticity of demand plays an important role in taking various decisions regarding prices and output. For instance, in deciding whether to increase the price or not the firm should have an idea about price elasticity of demand for the product and its substitutes and complements. Raising price will be beneficial only if the demand for its products is inelastic as the increase in price will raise total revenue. Moreover, raising price will be advisable if the elasticity of demand for its substitutes is low because otherwise consumers will shift to the consumption of these substitutes as the firm raises the price of its product. Similarly, business firms should have an idea of income elasticity of demand while deciding to undertake additional capacity. They would find it profitable to increase the production capacity of those products which have a high-income elasticity of demand.

1. What is the importance of elasticity of demand?
2. What is the elasticity of demand?

3. Supply should not be confused with the 'stock' of the commodity. Stock of a commodity is the total amount of the commodity available with the producers at any given time. Supply of a commodity does not comprise the entire stock of the commodity, but only that part of it which the producers are willing to bring into the market and offer for sale at a particular price. Thus, the stock of a commodity is the actual amount of it with the producers, while supply is that part of the stock which is offered for sale at any given time (intended supply) in the market. For instance, traders in food grains may have a large stock of food grains which they have built by purchasing food grains from the farmers, immediately after the harvest season. The stock of food grains with them is the total amount of food grains with them. The supply of food grains is that part of the food grains stock which they are prepared to bring into the market at a particular price. Thus, stock is the actual amount available with the producers, while supply refers to the amount producers are prepared to bring into the market. Remember, the concept of stock has not any time dimension, it is expressed at a point of time like stock of food grains on 1st March, 2014. On the other hand, the concept of supply has a time dimension; it is expressed over a period of time like the supply of food grains per month.

1. ‘Stock is different from supply’ explained with reference to the above passage.
2. Explain the concept of stock with the help of any one example.

4. National income is often considered as the most comprehensive measure of how well the economy is performing. It is necessary and important, therefore, to measure the national income of a country so as to have an idea of the performance of the economy. Measuring national income is an extremely complicated and gigantic task. However, economists have devised various ways of estimating national income. In fact, national income estimates are made in every country these days. In India, the task of estimating national income is entrusted with the Central Statistical Organisation (CSO), a department of the Ministry of Planning and Programme Implementation. Just as doctors take a patient's temperature to find out how sick the patient is, economists use national income statistics to get a quantitative measure of the economy's performance. It is important to know-how economists measure a country's national product and national income that is generated from. this. Measurement of national income is important and extremely useful.

1. Why is the study of National Income so important?

2. Which organization is responsible for estimating National income in India?

5. Market structure refers to the types of market in which the producers or firms operate. It indicates how the market is organized. Various market forms are broadly classified on the basis of competitiveness of the market structure, The competitiveness of the market structure refers to the extent to which individual firms have the power to influence the market price of the commodity. Lesser is the power an individual firm has in influencing the price of the commodity, the more competitive is the market structure. One of the extreme forms of market structure is perfect competition where a firm has absolutely no power to influence the price of the commodity. In such a market, there are so many firms that none of them has any control on the price; each one of them is a price-taker. The other extreme form of market structure is monopoly, where there is only one producer of a good who enjoys a considerable power to influence the price of the commodity. In this most extreme case, there is no competition. For example, the electricity board of a city has the power of influencing the price of the electricity there. In between these two extreme forms of market, there are a number of market forms where the individual producer has the power to influence the price and other elements of the market, but only to a limited extent.

1. What does competitiveness of market structure mean?

2. Name the two extreme forms of market structure from the above passage.

6. Public expenditure refers to the expenses incurred by public authorities—central government, state government and local bodies for its own maintenance as also for the satisfaction of collective needs of the citizens and for promoting their economic and social welfare. Expenditure incurred by the public authorities

in running the government in the form of expenditure on administration and maintenance of law and order are the examples of public expenditure required for the maintenance of the government. Expenditures incurred on education, public recreation, public works, public transportation, defense, etc. are familiar examples of public expenditure incurred for the satisfaction of collective wants. In the modern welfare state, the government has to undertake a number of social and economic activities for which it has to incur expenditure. Public expenditure needs to be incurred in providing social security to the public (such as old age pensions), in providing economic and social overheads (such as transportation, communication, power, etc.), in maintaining economic stability, in providing welfare activities (such as education, medical, housing, etc.) and in promoting economic development.

1. What is public expenditure?

2. Give any one example of public expenditure with reference to the above passage.

7. The union minister for finance and corporate affairs Smt. Nirmala Sitaraman presented the union budget 2021-22 in parliament, which is the first budget of this decade and also a digital one in the backdrop of unprecedented COVID-19 crises. Laying a vision for Atma Nirbhar Bharat, she said this as an expression of 130 crores Indians, who have full confidence in their capabilities and skills. She said that budget proposals will further strengthen the Sankalp of the nation, first doubling farmers income, strong infrastructure, healthy India, good governance, opportunities for youth, education for all, woman empowerment and inclusive development among others. Additionally, also on the path to fast implementation are 13 promises of the budget 2015-16, which were to be materialized during the Amrut Mahotsav of 2022, on the 75th year of our independence.

The budget proposal of 2021-22 rests on 6 pillars- Health and well-being, Physical and finance capital infrastructure, inclusive development human capital, innovations, minimum government and maximum governance.

1. What was the view of Smt. Nirmala Sitaraman on Atma Nirbhar Bharat?

2. Express your opinion about the budget in two sentences.

8. Gold is the second most imported commodity in India after petroleum. Gold imports of India declined significantly in 2013-14. India's gold imports fell to 27.5 billion in 2013-14 from 53.3 billion in 2010-11. The fall in international gold prices and the consequent policy of restrictions by the government on gold imports have led to a sharp decline in gold imports.India consumes a lot of gold and produces very little of it. In 2018-19, India produced just 1.66. kg of gold, while it imported 9,82.711 kg of it. Imports have remained subdued during 2020 because of the spread of COVID-19 (coronavirus). However, after July 2020, the imports have started increasing as India's craze for gold is evident in its festivals, weddings, sweets and even clothes.

1. Comment on India's imports of gold.

2. Explain the reason for decline in gold imports from 2013-2020.

9. If all goes as planned, state run insurers and pension funds may get the nod to invest in government backed start up focused funds of funds. Currently, talks are on between various government agencies, such as the Department for Promotion of Industry and Internal Trade and industry regulators including the Insurance regulatory and Department Authority of India and securities and exchange board of India to make this a reality. The move comes at a time when there is a pressing need to create large pools of domestic capital, given recent changes to India's foreign direct instrument norms, which are anticipated to severely restrict Chinese origin funding into the country's startup ecosystem.

"There is a critical need to replace that anticipated shortfall in capital. The government needs to get Indian investors to start investing. There is now a capital call to start relying more on India's domestic financial institutions or domestic pools of capital and ensure they participate in a significant manner otherwise actions don't follow the words." a person with knowledge of the development said.

1. Which government authorities are involved in the talk?

2. Highlight the critical need given in the passage.

10. We often hear about G.D.P. in India. The national income of the country is the total income everyone earns in India, GDP, GNP are also parts of this national income. GNP is Gross National Product and GDP is Gross Domestic Product, further saving rate and investment rates in the economy are determinants of National of India. The Final Product within the national boundaries of India within the specific period of time is in the GDP of India. Further the effect of inflation on these products is called calculated. GNP of the country is calculated by adding the net inflow coming from the abroad countries to the GDP of India, while subtracting net outflow to the foreign countries from India. The money spent on durable as well as non-durable goods in India is included in consumption expenditure. Investment expenditure includes the spending on business inventories and residential and non-residential investment. Non-residential investment includes spending on various equipment and plants, while residential investment includes spending on family houses. Before Independence, Dadabhai Nauroji is considered as the first person, calculated the national income of India while V.K.R.V. Rao divided the economy into sectors the corporate sector and agriculture sectors. After Independence a committee called the national income committee was formed. It was set-up in 1949 and its first chairman was Prof. P. C. Mahalanobis.

1. Name the first person to calculate national income of India

2. What are the determinants of National Income of India

11. Every consumer has to buy a number of goods and services with his limited income. A basic assumption of the economic theory of household behavior is that the consumer is rational, i.e., he or she tries to maximize the total utility from his/her purchases. An important question which a consumer has to decide is: how he/she should allocate his/her given income on different goods and services so as to maximize total utility. A consumer will be in equilibrium when he/she spends his/her given income on the purchase of different goods in such a way so as to maximize his/her total utility. The utility approach assumes that the utility which a consumer gets from a unit of a commodity can be measured in absolute terms in the same way as we measure the weight or height of a person. How can a household maximize his/her total utility? The general rule is that the consumer will maximize total utility when he/she allocates his/her income among various commodities in such a way that the marginal utility of the last rupee (or any other unit of money) spent on each commodity is equal.

1. What is the basic assumption of economic theory?

2. Explain general rule as per the given passage.

12. Microeconomics is concerned with how the individual consumer distributes his income among various products and services so as to maximise utility, i.e., theory of demand. Microeconomics seeks to explain what quantity of different factors of production should be used in producing a commodity, i.e., theory of production; and how to minimise the cost of production, i.e., theory of cost. Microeconomics also examines how the prices of various products are determined in the market, i.e., theory of product pricing. It explains how the individual firms decide at what price to sell, the product, how much to produce and what amount of output will maximise their profits. Microeconomics studies how the output produced is shared among those persons who cooperate in the production of this output, i.e., theory of distribution. Microeconomics also examines whether resources are efficiently allocated and it spells out the conditions for the optimal allocation of resources so as to maximise output and social welfare, i.e., welfare economics. Thus, microeconomics deals with the determination of product and factor prices and their quantities in the individual markets and the allocation of resources among various firms and industries. It deals with the action and interaction of individual markets-product and factor markets.

1. What does Microeconomics mean?

2. What microeconomics examines as per given passage?

13. The wholesale price index measures the relative changes in the prices of goods in the wholesale market. It shows the prices of the representative basket of goods traded in the wholesale market. It is based on the wholesale prices of a few selected commodities. It takes account of the price movement of each commodity (included in the basket of goods selected) individually. Based on the price changes of individual commodities, the WPI is calculated through the averaging principle using Laspeyer's formula. In other words, WPI is the weighted arithmetic mean based on the fixed value-based weights for the base period, i.e., expenditure in the base period evaluated at base prices. WPI in India is widely used by the government, banks, industry, and business. This is published by the Office of Economic Adviser, Ministry of Commerce and Industry. The latest WPI in India has a basket of 676 commodities. It is a weighted index where different weights are assigned for different categories of commodities such as food products, fuel and energy products, and manufacturing products. The current wholesale price index has 2004-05 as the base year.

1. What is the Wholesale price index?

2. What is the current base year for WPI as per given passage?

14. The law of demand states that the amount demanded of a commodity is influenced significantly by the price of the commodity. But the law of demand tells us only about the direction of change in demand for a commodity in response to change in its price. It simply states that change in price and change in quantity demanded move in the opposite direction. Thus, the law of demand makes a qualitative statement only. It does not tell us about the magnitude of change in quantity demanded in response to a change in price. In other words, it does not tell us by what amount the quantity demanded of a commodity will change in response to a change in its price. The extent to which the demand for different commodities responds to price changes differs. For example, the demand for a good like salt is not affected much by a change in its price. On the other hand, a change in the price of goods like colour televisions or cars is likely to have a large influence on its demand. This information about the extent to which demand responds to a change in the price or any other factor is provided by elasticity of demand, Elasticity of demand makes a quantitative statement. The credit for introducing the concept of elasticity of demand in economic theory goes to the great economist Alfred Marshall.

1. How is the concept of elasticity of demand different from the concept of law of demand?

2. To whom credit is given to introduce the concept of elasticity of demand?

15. In many countries of the world, the modern government has adopted a policy of intervention for the economic and social development of the country instead of adopting a policy of non-intervention (Laissez fare). For the economic and social development of the country, the modern government is spreading heavily on optional functions such as provision of education, public health facilities, provision of recreational facilities, implementation of social welfare schemes, etc. The modem government is constantly adopting new optional (voluntary) functions on a large scale and carrying out traditional functions effectively. For this purpose the modern government is spending more and more money. The expenditure which is incurred by the government on day to day administrative cost, salaries, allowances, pension, public health, etc. is revenue expenditure. The expenditure incurred by the government for boosting economic growth and development is called development expenditure. It is also called Capital expenditure e g. Huge investment projects loans to public undertaking, etc

1. State any two optional functions of government

2. State any two examples of capital expenditure of the government.